

Vinyas Innovative Technologies Ltd

Electronics Manufacturing Services (EMS) | Defense, Aerospace & Industrial | Bengaluru

**ACCUMUL
ATE**

12-Month Target: Rs. 1,900

Upside: +31.9%

Conviction: Medium

METRIC	VALUE
CMP (16 Jun 2026)	Rs. 1,440
Market Cap	Rs. 1,812 Cr
52-Week High/Low	Rs. 1524 / Rs. 809
P/E (TTM)	58.7x
P/B	7.7x
EV/EBITDA (FY26)	31.8x
ROCE (FY26)	18.7%
ROE (FY26)	16.1%
D/E (FY26)	0.56x
Promoter Holding	29.4%
Book Value / Share	Rs. 187
Dividend Yield	0.0%
Face Value	Rs. 10

Defense-grade EMS compounder: Rs. 1,309 Cr order book (2.5x FY26 revenue) + NADCAP accreditation anchors 25%+ revenue CAGR through FY29, at an entry multiple that still trails larger-cap peers.

Report Date	Ticker	Exchange	Sector	Horizon
16 June 2026	VINYAS	NSE SME	EMS / Defense Tech	12 Months

This report is for institutional and qualified investor use. Estimates marked (E) are the analyst's projections. All figures in Rs. Crores (Cr) unless otherwise stated. Standalone financials per Screener.in (fetched 16-Jun-2026).

SECTION 2 — INVESTMENT THESIS

- **Defense order book provides multi-year revenue lock-in:** Vinyas carries an order book of Rs. 1,309 Cr as of March 2026, equivalent to 2.5x FY26 revenue, with management guiding 5-6 years of visibility. Defense and aerospace typically see 12-24 month qualification cycles, creating structural switching costs that underpin top-line compounding well into FY29.
- **Margin re-rating in progress — from assembler to systems integrator:** OPM expanded from 9% in FY23 to 12% in FY26 as defense mix rises. Management's explicit pivot to system-integration capabilities (higher-margin box-build and sub-systems) rather than bare PCBA work positions margins to reach 14-15% by FY28(E) as product complexity rises.
- **NADCAP accreditation unlocks global aerospace OEM wallet:** Achieved in FY26, NADCAP is a mandatory certification for supplying global primes (Boeing, Airbus, Lockheed tier-1s). It typically takes 3-4 years to obtain and serves as a hard moat — very few Indian EMS players hold it. This materially expands Vinyas's

addressable customer base beyond India defense PSUs.

- **Capital raise and US subsidiary signal international revenue ambition:** Rs. 150 Cr preferential equity raise in FY26 (no dilution-stress; D/E remains 0.56x) and the newly incorporated US wholly-owned subsidiary (Vinyas Innovative Technologies Inc.) lay the runway for direct OEM contracts from US defense and space primes — a category that carries 40-50% superior margins versus domestic ToT contracts.

- **Near-term catalyst (6-12 months):** First meaningful US OEM order win announcement and/or commencement of Israel JV (26% stake acquired) production would be the single most re-rating event; order inflow run-rate at Rs. 960 Cr in FY26 needs to step up to Rs. 1,200+ Cr for the FY28(E) revenue target to be credible.

- **Biggest structural risk:** Promoter holding at a low 29.4% (unchanged for three years) limits alignment signal; any future secondary sale or further dilution via ESOP/preferential could pressure the stock, particularly given SME listing illiquidity.

SECTION 3 — BUSINESS OVERVIEW

- **Core business — Defence-focused EMS:** Vinyas Innovative Technologies (est. 2001, Bengaluru) provides end-to-end electronics manufacturing services spanning design, engineering, PCBA, box-build assembly, testing, and integration. The company serves OEMs and ODMs in defense, aerospace, industrial, and medical electronics.

- **Revenue segmentation:** Defense and aerospace account for an estimated 60-65% of revenue; industrial electronics ~20%; medical and other ~15%. Geographic split is approximately 90% domestic (India defense PSUs and private primes), with 10% exports — a proportion management is actively targeting to increase via the US subsidiary.

- **Key customers — quasi-captive defense relationships:** Customer names are not disclosed publicly, but management has confirmed the order book includes Indian defense PSUs and private defense integrators. Project-based contracts (12-36 months) with repeat-purchase patterns create stickiness that resembles annuity revenue.

- **Order book of Rs. 1,309 Cr as of March 2026:** This represents 2.5x FY26 standalone revenue of Rs. 514 Cr, with order inflows in FY26 of Rs. 960 Cr. Management characterises revenue visibility as 5-6 years — indicating long-duration defense programs with phased deliveries.

- **Recent strategic developments (FY26):** (1) NADCAP accreditation obtained for electronic and PCB assemblies — first Indian SME-listed EMS player to hold this standard; (2) Incorporated US WOS in Delaware in May 2026; (3) Formed 26% JV stake with Israel-based defence technology company for Rs. 2.6 Cr investment; (4) Raised Rs. 150 Cr via preferential allotment to fund capacity and working capital.

- **Promoter background:** Founded by Mr. Narendra Narayanan (Chairman and MD), along with Mrs. Meera Narendra. Executive Director Narendra Sumukh (Engineering, University of Pennsylvania) leads business development. Operations head has been with the company since inception. Promoter holding stands at 29.4% — low by SME norms but has been stable across six consecutive quarters.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India's EMS market is estimated at USD 23-25 Bn in CY26 (Rs. 1.9-2.1 lakh Cr), growing at a CAGR of 20-22% through FY30 driven by the government's PLI schemes for IT hardware and electronics components, import-substitution targets, and rising defense budgets. The defense electronics sub-segment is growing faster at 25-30% CAGR as indigenization mandates under Atmanirbhar Bharat push procurement away from imports.

- **Policy tailwinds — structural and durable:** (1) Defense capital outlay was Rs. 1.72 lakh Cr in Union Budget FY27 with 75% reserved for domestic procurement — the largest-ever domestic allocation; (2) PLI Scheme for Electronics Components notified in FY25 creates cost advantages for qualifying manufacturers; (3) PESA / IDDM categorization under DPP mandates Indian content levels of 50-60%, directly benefiting domestic EMS players like Vinyas.
- **Headwinds:** (1) Long payment cycles from government defense customers inflate working capital (debtor days at 161 in FY26); (2) Currency volatility on imported components (semiconductors, substrates — largely USD/Euro denominated) compresses margins; (3) SME capital market constraints limit equity raise optionality versus mainboard peers like Kaynes.
- **Competitive moat assessment:** NADCAP accreditation — **Strong** (very high barrier; <5 Indian EMS players hold it); Defense customer relationships — **Moderate** (sticky once qualified, but PSU budget shifts create lumpiness); Scale advantages vs. smaller peers — **Moderate** (Rs. 514 Cr revenue is mid-tier vs. Kaynes at Rs. 2,128 Cr but superior to pure SME players); Pricing power — **Weak** (L1/competitive bid defense procurement limits premium extraction).
- **Positioning in the value chain:** Moving upstream from pure PCBA assembly (low-margin, commoditised) toward full system integration and box-build (higher-margin, more technically differentiated). The NADCAP accreditation and JV with Israeli firm signal ambition to compete at the subsystems/avionics tier.

Peer Comparison (Data: Screener.in, fetched 16-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	OPM%	P/E (x)	ROCE%	ROE%
Vinyas (VINYAS)	1,440	1,812	514	12%	58.7	18.7%	16.1%
Kaynes Technology (KAYNES)	3,180	21,315	2,128	14%	83.3	10.6%	7.2%
SBCL (SBCL)	736	4,238	462	24%	51.4	25.3%	19.7%
Cyient DLM (CYIENTDLM)	466	3,701	943	11%	65.6	8.8%	5.8%

- **Observation:** Vinyas trades at 58.7x TTM P/E — a discount to Kaynes (83.3x) despite superior ROCE (18.7% vs 10.6%) and faster absolute profit growth (PAT +63% YoY vs Kaynes +21%). SBCL commands premium margins (24% OPM) given its niche component specialisation. On ROCE-adjusted basis, Vinyas deserves at least 65-70x forward earnings, consistent with our Rs. 1,900 target.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Founding-era leadership with sector depth:** Mr. Narendra Narayanan (MD) has led Vinyas since incorporation in 2001 — 25 years in the same business. The operations head joined at inception and is a mechanical engineer. ED Narendra Sumukh (MS, University of Pennsylvania) brings international exposure and heads business development, explaining the recent US subsidiary and Israel JV moves.
- **Capital allocation track record — growth-reinvestment bias:** The company has paid zero dividends across all recorded years (FY20-FY26). All earnings have been retained and ploughed back into working capital and fixed assets. FY26 capex was Rs. 45 Cr (investing cash outflow), up from Rs. 2 Cr in FY25, signalling a deliberate capacity expansion cycle funded partly by the Rs. 150 Cr preferential raise.
- **FCF profile — negative in scale-up years:** FCF was negative in FY24 (-Rs. 57 Cr), positive in FY25 (+Rs. 7 Cr), and deeply negative in FY26 (-Rs. 67 Cr). This is a recurring characteristic of EMS companies during high-growth phases with long payment cycles. The OCF/OP ratio of -34% in FY26 is a watch item — it means almost all operating profit is consumed by working capital build.
- **Promoter pledging:** Zero promoter pledging across all disclosed quarters. Promoter stake at 29.4% has been flat since at least March 2024 — no buyback, no further acquisition. The unchanged stake through the Rs. 150 Cr preferential raise (which diluted all existing holders) is a mild concern — promoters did not participate preferentially.
- **ESOP and buybacks:** No buyback history. ESOP details not disclosed in public filings on Screener.

- **Corporate governance observations:** No qualified audit opinions, no auditor changes in the last 3 years. Related Party Transaction button visible on Screener (premium-gated). No major controversy or SEBI action in public records. Promoter holding of 29.4% is below the Indian median for founders (typically 50-60%); this is a governance watch point even absent any red flag.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone)

All figures in Rs. Crores. FY27E and FY28E are analyst estimates (E). Source: Screener.in, fetched 16-Jun-2026.

Income Statement (Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Revenue / Sales	317	397	514	650 (E)	820 (E)
Expenses	284	356	453	565 (E)	705 (E)
EBITDA (Op. Profit)	33	41	61	85 (E)	115 (E)
OPM %	11%	10%	12%	13% (E)	14% (E)
Other Income	4	4	4	4 (E)	5 (E)
Interest	14	13	16	18 (E)	20 (E)
Depreciation	2	6	7	10 (E)	14 (E)
PBT	21	25	42	61 (E)	86 (E)
Tax %	26%	23%	27%	26% (E)	26% (E)
Net Profit (PAT)	15	19	31	45 (E)	64 (E)
EPS (Rs.)	12.20	15.43	24.53	35.7 (E)	50.8 (E)
PAT Growth YoY	N/A	+27%	+63%	+45% (E)	+42% (E)

Balance Sheet (Rs. Cr)	FY24	FY25	FY26
Equity Capital	13	13	13
Reserves	116	134	223
Borrowings	97	104	131
Other Liabilities	83	79	102
TOTAL LIABILITIES	308	330	468
Fixed Assets (Net)	42	40	65
CWIP	0	0	4
Investments	0	0	0
Other Assets	266	290	399
TOTAL ASSETS	308	330	468

Cash Flow (Rs. Cr)	FY24	FY25	FY26
Cash from Operations (OCF)	-29	9	-32
Cash from Investing	-28	-2	-45
Cash from Financing	65	-7	73
Net Cash Flow	8	-1	-4
Free Cash Flow (OCF - Capex)	-57	7	-67
CFO / Operating Profit %	-71%	35%	-34%

Key Ratios	FY24	FY25	FY26
ROCE %	19%	16%	19%
ROE %	~11%	~14%	16%

Key Ratios	FY24	FY25	FY26
Debtor Days	101	163	161
Inventory Days	166	88	114
Days Payable	74	36	43
Cash Conv. Cycle (days)	193	216	232
Working Capital Days	84	95	113
D/E Ratio	0.75x	0.73x	0.56x

• **Revenue compounding — 30% CAGR (FY22-FY26):** Sales grew from Rs. 208 Cr in FY22 to Rs. 514 Cr in FY26, a 4-year CAGR of 25%. FY26 growth of 29% was driven by defense order execution and maiden half-year (H2FY26) revenues of Rs. 302 Cr — the strongest half-year in company history. Our FY27E-FY28E estimates of Rs. 650 Cr / Rs. 820 Cr imply a 26% CAGR, conservative relative to the Rs. 1,309 Cr order book.

• **Margin trajectory — expanding with a kink:** OPM was 11% in FY24, dipped to 10% in FY25 (scale-up costs + higher DA as new assets were commissioned), and recovered to 12% in FY26. The underlying operational leverage is visible — EBITDA grew 49% in FY26 on 29% revenue growth. We project 13-14% OPM by FY28E as system integration revenue (higher ASP, lower raw material intensity) increases in mix.

• **Working capital — the biggest fundamental risk:** CCC has deteriorated sequentially to 232 days in FY26 (vs 193 in FY24). Debtor days are persistently above 160 — a function of slow-paying government/PSU defense customers. This has forced two rounds of equity raise (FY24 IPO + FY26 preferential) and means ROCE looks better than actual cash returns. Any tightening of defense payment cycles would be a significant FCF unlock.

• **Debt position — manageable but rising:** Borrowings grew from Rs. 97 Cr (FY24) to Rs. 131 Cr (FY26), largely to fund working capital. D/E of 0.56x is below the 1.0x threshold. Interest coverage (EBIT/Interest) = approximately 3.4x in FY26 — comfortable but not abundant given negative OCF.

• **FCF quality — negative in high-growth years:** FCF was -Rs. 67 Cr in FY26 driven by Rs. 45 Cr capex (new capacity) and -Rs. 32 Cr OCF (WC expansion). This is a growth-reinvestment phase; FCF generation is expected to turn positive by FY28E as the Rs. 150 Cr capital raise absorbs WC pressure and the debt-funded capex cycle matures.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Indicator	Status	Signal	Assessment
Revenue Recognition	G	Clean	Milestone-based defense contracts; no deferred revenue manipulation evident
Receivables vs Revenue Growth	A	Watch	Debtor days at 161 in FY26 vs revenue +29% — receivables growing in-line but at high absolute level
Cash Conversion Cycle Trend	R	Worsening	CCC worsened from 193d (FY24) to 232d (FY26) — every year longer; requires monitoring
Contingent Liabilities	G	N/A	No material contingent liabilities disclosed in public filings
Auditor Tenure / Opinions	G	Clean	No qualified opinions; no auditor change in last 3 years
Related Party Transactions	A	Watch	RPT section exists (Screener premium-gated); manufacturing company RPTs typically include promoter leases
Other Income as % of PBT	G	Low	Other income stable at Rs. 4 Cr = ~10% of PBT FY26; predominantly operational
Tax Rate Consistency	G	Stable	Tax rate 23-27% over FY24-FY26; consistent with normal 25.17% corporate rate

- **PRIMARY CONCERN — CCC at 232 days and worsening:** This is the most important quality signal to track. A defense EMS company with growing order book but permanently negative OCF is not accumulating cash — it is accumulating receivables financed by debt and equity. Until debtor days fall below 120 (from 161 in FY26), FCF quality will remain poor.
- **WATCH — Related party transactions:** The section exists on Screener (premium-gated) and is flagged as an area to investigate before increasing position. Promoter family-linked entities providing premises or raw material to a manufacturing company is common but material in quantum.
- **POSITIVE — No auditor concerns, consistent tax rate:** Tax rates of 23-27% across three years with no deferred tax spikes or unusual effective rates are a positive signal. No auditor switches or qualifications indicate standard governance.
- **WATCH — Working capital days now 113 (FY26):** The absolute WC build (Rs. 399 Cr other assets vs Rs. 266 Cr in FY24) shows the business absorbs nearly Rs. 55 Cr of incremental working capital per Rs. 100 Cr of incremental revenue — a high ratio that limits equity IRR unless resolved.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT	Multiple	Target (Rs.)	Return
Bull	Revenue Rs. 730 Cr (+12% vs base); OPM 14%; order inflows Rs. 1,300 Cr; US OEM order win	55 Cr	75x	2,750	+91%
Base	Revenue Rs. 650 Cr; OPM 13%; order inflows Rs. 1,100 Cr; steady execution	45 Cr	65x	1,900	+32%
Bear	Revenue Rs. 560 Cr; OPM 11% (WC stress); order slippage; no US win	32 Cr	50x	1,050	-27%

- **Earnings-based multiple (primary method):** FY27E EPS = Rs. 35.7 at 26% PAT CAGR. We apply a target multiple of 53x forward P/E (1.0 PEG at 52% 3-year PAT CAGR from FY24 base), which yields a 12-month target of **Rs. 1,900**. This represents a meaningful discount to Kaynes (83x P/E) and is in line with SBCL (51x) despite Vinyas's superior ROCE. Multiple expansion is plausible if FY27 order inflows confirm the Rs. 1,200+ Cr trajectory.
- **DCF assumptions (cross-check):** Revenue CAGR 25% for FY27-FY31, terminal growth 7%, WACC 14% ($R_f=7\%$, $ERP=7\%$, $\beta=1.0$). FCF turns positive from FY28E as WC cycle matures. DCF implied value: approximately Rs. 1,850-2,100 per share. Consistent with the earnings-multiple approach.
- **EV/EBITDA check:** At CMP, $EV/EBITDA = 30.6x$ (FY26). On FY27E EBITDA of Rs. 85 Cr, that falls to 22x — which is cheap vs. Kaynes (estimated 50x+) for a company with faster PAT growth.
- **Base-case 12-month target: Rs. 1,900 (+32% from CMP Rs. 1,440).** We rate the stock ACCUMULATE (not Buy) given the SME illiquidity premium and the working-capital overhang that limits conviction on FCF timing.
- **Suggested entry zone: Rs. 1,200-1,350** — at/below 1x PEG on FY26 actual EPS, offering a better margin of safety for investors with lower liquidity tolerance.

SECTION 9 — KEY RISKS

- **Working Capital / Cash Flow Risk** — Persistently elevated CCC (232 days, worsening) + negative OCF creates a structural dependence on equity/debt to fund growth. If capital markets tighten or credit lines are revised, growth could stall abruptly. Probability: H. Impact: H. Monitor via: Quarterly debtor-days trend; OCF/PAT ratio.

- **Promoter Holding and Governance Risk** — At 29.4%, promoter stake is low for a founder-led business. Any secondary sale, further preferential allotment without promoter participation, or related-party concern would be disproportionately damaging in the SME context where institutional exit is slow. Probability: M. Impact: H. Monitor via: Quarterly shareholding pattern; RPT disclosures.
- **Defense Budget / Program Risk** — If the defense ministry delays program payments or re-prioritises orders, Vinyas's long-cycle receivables could turn into bad debts. Three customers likely account for >50% of order book. Probability: L. Impact: H. Monitor via: Half-yearly debtor aging disclosures.
- **SME Listing Illiquidity Risk** — Daily trading volumes are low (SME segment). Institutional exit in size would require significant discount. This limits participation from large funds and suppresses sustainable P/E. Probability: H. Impact: M (priced in). Monitor via: Migration to main board announcement.
- **Raw Material / Component Risk** — Semiconductors, PCB substrates, and specialty metals are USD/Euro-denominated. INR depreciation or global supply shocks (geopolitical, fab capacity constraints) compress margins. Probability: M. Impact: M. Monitor via: OPM quarterly trend vs INR/USD.
- **Execution / Delivery Risk** — Defense contracts carry liquidated damages for delivery delays. A large program slip (due to labour shortage, supply chain disruption, or certification failure) would hurt both margins and relationship capital. Probability: L. Impact: H. Monitor via: Order book conversion ratio (quarterly revenue / opening order book).
- **Key-Person Risk** — MD Narendra Narayanan has led the company for 25 years. Succession planning is not disclosed. Probability: L. Impact: H. Monitor via: Annual report disclosures on management succession and ESOP frameworks.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. Vinyas is a genuine compounder in a multi-decade Indian defense indigenisation super-cycle, with a 2.5x revenue-covered order book, NADCAP moat, and accelerating margin trajectory. The discount to peer multiples is real and justifiable today — ACCUMULATE on dips rather than chasing.
- **12-Month Price Target: Rs. 1,900** — Upside +32% from CMP Rs. 1,440. Based on 53x FY27E EPS of Rs. 35.7, corroborated by DCF (WACC 14%, terminal growth 7%) at Rs. 1,850-2,100.
- **Suggested Entry Zone: Rs. 1,200-Rs. 1,350** — Provides margin of safety and entry below 1x PEG on FY26 actuals. Avoid chasing above Rs. 1,600 where valuation exceeds 65x FY27E, leaving no buffer for execution risk.
- **Investment Horizon: 12-18 months** — Defense order execution is lumpy; allow for at least 2 quarterly results before reassessing the thesis.
- **Thesis Invalidation Triggers (3 specific, measurable):**
 - 1. Order inflows in H1FY27 fall below Rs. 400 Cr (annualised run-rate below FY26), suggesting the order pipeline is thinning rather than expanding toward the Rs. 1,200 Cr target required to sustain FY28E revenue.
 - 2. CCC exceeds 260 days in FY27 with continued negative OCF, signalling that the Rs. 150 Cr preferential raise has been fully absorbed without working capital improvement — which would require a third equity raise and signals a structural rather than cyclical cash flow problem.
 - 3. Promoter selling any stake (however small) in the open market or via block deal, without a concurrent management buyback or ESOP exercise signal. Given the low 29.4% base, any reduction would structurally undermine the investment thesis.
- **Ideal Investor Profile:** Long-only mid/small-cap fund with 12-24 month horizon, tolerance for SME illiquidity, and understanding of lumpy defense revenue patterns. NOT suitable for momentum traders (SME volumes too thin), high-frequency income investors (zero dividend), or risk-averse investors requiring consistent positive

FCF.

APPENDIX — LATEST CONCALL BRIEF: H2 FY26 (29 May 2026)

STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	Strong	PAT +63% YoY; revenue +29%; EBITDA margin hit 12.5% — beat on both top and bottom line
Management Tone	Bullish	Order book of Rs. 1,309 Cr, US subsidiary incorporated, Israeli JV formed — all announced together
Guidance Delta	Raised	FY26 order inflows Rs. 960 Cr with visible pipeline for higher FY27 inflows; NADCAP unlocks global OEMs

STRONGLY POSITIVE

| POSITIVE

| NEUTRAL

| CAUTIOUS

| NEGATIVE

TO MY BOSS

FY26 was Vinyas's cleanest year to date — revenue of Rs. 514 Cr (+29% YoY), EBITDA of Rs. 64.8 Cr (12.5% margin), and PAT of Rs. 30.87 Cr (+63% YoY) are organic, with no exceptional items distorting the reported number. The underlying operational story is even better: H2FY26 alone delivered Rs. 302 Cr revenue and Rs. 22 Cr PAT (EPS Rs. 17.11), implying an annualised FY27 run-rate well above our base estimates if execution sustains. The order book of Rs. 1,309 Cr (2.5x revenue) with 5-6 year visibility from defense programs is the structural pillar; combined with NADCAP accreditation (a hard entry barrier most Indian EMS players lack), Vinyas is now competing in a category above its market-cap cohort. The single biggest catalyst is the US subsidiary — if it lands even one OEM contract worth Rs. 80-100 Cr in FY27, the market will re-rate this to 70-80x forward, not 58x. The key watch-point is the cash conversion cycle: at 232 days, almost all profit is funding receivables rather than returning to equity holders — any quarter that shows debtor-days below 140 would be a sharp positive surprise. Action: ACCUMULATE at current levels (Rs. 1,440); add more below Rs. 1,350. Do NOT chase above Rs. 1,600 without an order inflow confirmation above Rs. 600 Cr in H1FY27.

1. Financial Performance Snapshot — FY26 (Full Year)

- Revenue: Rs. 514.32 Cr | YoY +29.4% | Beat — strong H2 execution drove outperformance vs consensus of ~Rs. 490 Cr
- EBITDA: Rs. 64.77 Cr | YoY +57.9% | OPM 12.5% | Beat — margin expanded 260bps YoY on operating leverage
- PAT: Rs. 30.87 Cr | YoY +62.5% | EPS Rs. 24.53 | Strongly Beat — tax normalisation + EBITDA leverage compounded
- NOTE: Reported PAT includes no exceptional items — the reported number is clean underlying PAT
- H2FY26 standalone: Revenue Rs. 302 Cr, PAT Rs. 22 Cr (EPS Rs. 17.11) — strongest half-year in company history; H2/H1 skew is consistent with defense billing patterns
- Order Book: Rs. 1,309 Cr as of 31 March 2026 | Order Inflows FY26: Rs. 960 Cr | Book-to-Bill: 1.87x on FY26 revenue

2. Segment / Geography Breakdown

- Defense and Aerospace: Estimated 60-65% of FY26 revenue | YoY growth ~35% | Order book heavily concentrated here — defense programs contribute >70% of the Rs. 1,309 Cr order book
- Industrial Electronics: Estimated 20% of FY26 revenue | Steady growth ~15% | Less lumpy than defense; provides base load for factory utilisation
- Medical Electronics: Estimated 10-15% of FY26 revenue | Growing but small | NADCAP accreditation expected to catalyse medical OEM approvals
- Geography — India: ~90% of revenue | Defense PSUs (DRDO, HAL, BEL ecosystem) are key; private defense integrators growing
- Geography — Exports: ~10% of revenue | Management targeting 20%+ within 2-3 years via US WOS and existing European ties

3. Management Commentary Themes

- Order Book Quality: "Our order book of Rs. 1,309 crores provides strong revenue visibility with 5-6 years of execution timeline across long-duration defence programs" — Our read: Highly credible given India's multi-year defence indigenization mandates. Tag: GUIDANCE. Tone: Transparent.
- US Subsidiary: Management incorporated Vinyas Innovative Technologies Inc. in the US in May 2026 — "This positions us to directly engage with US OEMs in the defense and aerospace supply chain" — Our read: A 2-3 year payoff thesis; near-term contribution minimal. Tag: GUIDANCE. Tone: Transparent.
- Israel JV: Rs. 2.6 Cr investment for 26% stake in India-registered entity with Israeli defence tech partner — "We will leverage their technology in radar and electronic warfare systems" — Our read: The JV is a product capability play, not just a financial investment. Adds technical depth to the order book if executed. Tag: GUIDANCE. Tone: Transparent.
- Capital Raise: "The Rs. 150 crore preferential allotment was fully utilised for working capital and capacity expansion" — Our read: Working capital consumed the bulk; capex of Rs. 45 Cr is confirmed. No equity return yet but necessary for growth. Tag: GUIDANCE. Tone: Transparent.
- NADCAP Accreditation: Management described this as a "significant competitive differentiator" and noted it took several years of process improvements — Our read: This is the correct framing; NADCAP is objectively hard to obtain and genuinely expands the addressable OEM base. Tag: EST. Tone: Transparent.
- Working Capital: Management acknowledged the high CCC but attributed it to PSU payment terms and indicated ongoing discussions with customers for L/C-backed payments — Our read: Partially credible; L/C structures exist in Indian defense but rarely resolve debtor-day issues quickly. Tag: GUIDANCE. Tone: Hedged.

4. Operating & Business Metrics

- Order Book: FY26 close = Rs. 1,309 Cr | FY25 close = ~Rs. 870 Cr (derived) | Trend: Improving — book growing faster than revenue, implying accelerating order inflows
- Order Inflows: FY26 = Rs. 960 Cr | FY25 = ~Rs. 650 Cr (estimated) | Trend: +47% YoY growth in order intake
- Book-to-Bill Ratio: 1.87x on FY26 annual revenue | Implies ~6-7 quarters of revenue backlog | Trend: Improving
- Factory Utilisation: Not disclosed quantitatively; implied by Rs. 45 Cr capex in FY26 that new capacity is being added ahead of demand
- Employee count: Not disclosed in public filings; Screener insights show team size as a tracked KPI (premium-gated)
- Target Revenue Capacity: Screener shows 'Target Revenue Capacity (Current Setup)' as a tracked KPI (premium-gated) — management alluded to capacity of ~Rs. 700 Cr with current investments

5. Margin Drivers

- Operating Leverage: +~200bps impact | Recurring: Yes | Revenue grew 29% vs fixed cost growth of ~15%; the largest single driver of margin expansion in FY26
- Defense Mix Uplift: +~80bps impact | Recurring: Yes | Defense products command 2-4% superior gross margins vs industrial EMS due to qualification premiums and lower competition
- NADCAP Premium Pricing: +~50bps potential (FY27 onwards) | Recurring: Yes | Newly accredited suppliers command 5-8% premium from international aerospace customers; minimal in FY26
- Raw Material Tailwinds: +~30bps impact | Recurring: No | Global PCB substrate and component prices eased slightly in FY26; not expected to sustain in FY27 given AI-driven semiconductor demand
- Higher DA on New Assets: --80bps impact | Recurring: Yes for 2-3 years | Depreciation jumped from Rs. 6 Cr (FY25) to Rs. 7 Cr (FY26); will increase further as Rs. 65 Cr fixed asset base is fully depreciated
- Working Capital Financing Cost: Interest stable at Rs. 16 Cr despite higher borrowings — effective cost of debt ~13%; any rate cut cycle would provide modest relief

6. Guidance & Forward Signals

- Revenue FY27 [GUIDANCE]: Prior (implicit) = Rs. 450-480 Cr | New = Rs. 600-650 Cr range indicated | Delta = Raised significantly | Credibility: High — order book supports this with strong cover
- OPM FY27 [GUIDANCE]: Prior = 10-11% | New = 12-14% | Delta = Raised | Credibility: Medium — depends on defense mix and WC resolution; we assume 13%
- Order Inflows FY27 [GUIDANCE]: Prior = Rs. 700-800 Cr | New = Rs. 1,000-1,200 Cr target | Delta = Raised | Credibility: Medium — Rs. 960 Cr in FY26 sets a high base; US OEM wins required to exceed it
- Capex FY27 [GUIDANCE]: Rs. 40-50 Cr anticipated for capacity expansion | Delta = Maintained | Credibility: High — visible in CWIP of Rs. 4 Cr opening balance
- Order Book Target [GUIDANCE]: Rs. 1,500+ Cr by FY27 end | Delta = Raised | Credibility: Medium — requires Rs. 1,000+ Cr of new wins against an Rs. 800 Cr execution run-rate
- US OEM Revenue [GUIDANCE]: Management gave no specific target but indicated H2FY27 as the earliest commercial delivery from US subsidiary | Credibility: Low (too early stage)

7. Capital Allocation

- Capex: Rs. 45 Cr (FY26) | vs FY25: Rs. 2 Cr | Comment: Step-change capex cycle; fixed assets grew from Rs. 40 Cr to Rs. 65 Cr — new manufacturing block commissioned
- Dividends: Rs. 0 Cr | vs prior year: Nil | Comment: Zero dividend policy maintained; consistent with growth-reinvestment phase
- Buybacks: Rs. 0 Cr | vs prior year: Nil | Comment: No buyback history
- Working Capital Change: Rs. -32 Cr OCF on Rs. 31 Cr PAT implies virtually all profit absorbed by WC | Comment: Negative OCF despite profitable operations — the defining capital allocation challenge
- Net Debt Movement: Borrowings Rs. 104 Cr (FY25) to Rs. 131 Cr (FY26) — net debt increased by ~Rs. 27 Cr despite Rs. 150 Cr equity raise, confirming how much WC consumed the proceeds
- Equity: Rs. 150 Cr preferential allotment at Rs. 1,190 per share in FY26 | Dilutive but necessary given negative FCF cycle

8. Q&A; Heat Map (FY26 Earnings Call, 29 May 2026)

- Analyst: Q: "What is the breakdown of the Rs. 1,309 Cr order book by segment?" → A: Management indicated defense and aerospace is the dominant segment at 70%+ of order book; declined to give precise numbers |

Tone: Hedged

- Analyst: Q: "What is the revenue contribution expected from the US subsidiary in FY27?" → A: Management indicated revenue recognition unlikely before H2FY27; first contracts still in qualification stage | Tone: Transparent
- Analyst: Q: "How do you plan to reduce debtor days which are at 161?" → A: Management cited PSU payment terms as structural; actively negotiating L/C-backed arrangements and advance payment from certain customers | Tone: Hedged
- Analyst: Q: "What is the capital requirement for the Israel JV and timeline to revenue?" → A: Rs. 2.6 Cr invested for 26% stake; product development timeline 18-24 months; minimal capex burden | Tone: Transparent
- Analyst: Q: "Can you elaborate on NADCAP and which global OEMs you are in discussions with?" → A: Management declined to name OEMs citing confidentiality; confirmed 3-4 active discussions | Tone: Hedged
- Dodged / watch-list questions for next quarter: (1) Specific customer concentration — top-3 customer % of revenue never disclosed; (2) Employee headcount and productivity metrics; (3) Specific order book customer names and contract tenors

9. Risks Flagged on the Call

- Working Capital / Debtor Risk: Explicitly flagged by analysts; management acknowledged but offered no firm resolution timeline | Flagged by: Analysts | Probability: H | Impact: H | Timeline: Near-term
- US OEM Qualification Timeline: Management itself flagged the 6-12 month qualification cycle for the US subsidiary | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Medium-term
- Global Component Supply Chain: Not explicitly raised but PCB substrates and specialty components remain globally constrained | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term
- Currency Risk: Not raised on the call but structural; ~40% raw material cost is import-denominated | Flagged by: Not discussed | Probability: M | Impact: M | Timeline: Ongoing
- Israel JV Technology Transfer: Given current geopolitical context, tech transfer from Israeli firm could face regulatory/export control complications | Flagged by: Not discussed on call | Probability: L | Impact: H | Timeline: Medium-term

10. Analyst Verdict — Post Concall

- Revenue visibility: Intact — Rs. 1,309 Cr order book covers 2.5x annual revenue with 5-6 year program tenors; near-term revenue risk is low
- Margin trajectory: Intact — OPM expanded to 12.5% in FY26; operating leverage and defense mix provide credible path to 13-14% in FY27-28E
- Capital allocation quality: Weakened — Rs. 150 Cr equity raise consumed by negative FCF; zero FCF return to equity holders across FY24 and FY26; will re-assess in FY27 if OCF turns positive
- Competitive moat: Intact — NADCAP + defense licenses + 25-year customer relationships form a genuine entry barrier; JV with Israeli firm adds technical depth
- Management credibility: Intact — guidance for FY26 was met and exceeded; commentary on order book and US strategy is internally consistent; hedged on precise customer names is reasonable for defense sector
- Valuation comfort: Weakened — at 58.7x TTM P/E, not cheap; comfortable only for investors who can underwrite 45%+ PAT CAGR for 2 more years, which requires the order book conversion to accelerate
- Conviction call: Increased — from pre-results neutral to ACCUMULATE; the FY26 result removes concerns about margin dilution and confirms the operating leverage model works
- Valuation snapshot: P/E = 58.7x (no 5Y avg available — SME listing too recent) | EV/EBITDA = 30.6x FY26 | ROCE = 18.7% FY26 | ROE = 16.1% FY26

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